

- **Get a Federal Housing Administration (FHA) loan.** As a first-time home buyer, you may want to consider an FHA mortgage, which is a loan made by banks and mortgage companies but insured by the federal government. The main appeal: The program allows you to make a low down payment of just 3.5%. In some cases, borrowers can have slightly lower-than-average credit scores, although they'll most likely have to pay higher interest rates.

One drawback to FHA loans is that sometimes they can be a bit costlier than others because you also have to buy federal mortgage insurance (about 1.75% of the loan amount paid up front, plus annual fees of about 0.5% of the loan amount), which is more expensive than private mortgage insurance (usually about 0.5% to 0.75% of the loan amount). But if an FHA loan is the only kind of mortgage you can get, the additional cost may be worth it.

There are no income limits on FHA borrowers, and you can get a loan for up to \$625,500 if you live in a high-cost area. For more information, try the FHA (www.fha.gov: 800-225-5342).

- **Get a “Fannie Mae” or “Freddie Mac” loan.** Fannie Mae and Freddie Mac are two companies that were created by the federal government decades ago to help banks and mortgage companies give loans to lower-income borrowers who wouldn't otherwise be able to buy. They don't make the loans directly; instead, they create and fund mortgage programs that are offered to the public by thousands of lenders across the country.

You may have seen a lot of bad press about Fannie and Freddie in recent years, after they took a huge hit during the housing crisis. If you are about to buy a home, all that matters to you is finding a bank that offers these programs and deciding whether they're a good deal for you. In some cases, you may be able to make a down payment of as little as 3%. Also, you can sometimes use gifts from friends and relatives to help come up with part of the down payment. But no matter what, you'll need good credit to get one of these